

The Graffiti Towers Sale Is Stalled Because the City Sees the Billboard, Not the Building

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A Distressed Sale Hits a Regulatory Snag

Kali Chaudhuri's KPC Square is under contract to buy the graffiti-covered Oceanwide Plaza in downtown LA. But the city has paused the sale to review the financing structure-specifically the value placed on the building's massive LED billboard.

SIGNIFICANCE

This Isn't Just a Building-It's a Media Asset

The billboard alone could generate \$20-\$30 million in annual revenue. That changes the math entirely. The city is asking: Is the sale price based on real estate value or billboard value? That distinction matters for taxes, zoning, and public perception.

The Capital Stack Has Two Very Different Layers

The building itself is a distressed asset with negative equity. The billboard is a high-margin cash flow machine. A useful way to think about this: one part of the capital stack is a liability, the other is a gold mine. The city wants to know which one is being sold.

What Is the City Actually Reviewing?

The city is asking whether the billboard's value was properly disclosed and taxed. In situations like this, the question isn't just about the sale price-it's about whether the asset was ever properly valued for municipal purposes. The simple version: the city wants its share.

WHO CARES?

Three Parties Watching Closely

- * The sponsor (KPC Square): Needs the deal to close to unlock the billboard's cash flow.
- * The city: Wants to ensure proper tax revenue and zoning compliance.
- * Other distressed asset buyers: Watching to see if billboard value can be separated from building value in future deals.

Distressed Assets Often Hide Hidden Value

Graffiti Towers is part of a broader pattern: many distressed properties have embedded value that isn't obvious from the building alone. Air rights, signage, parking, or ground leases can transform a bad deal into a good one. The market is learning to look beyond the structure.

What to Watch in the Coming Weeks

- * Will the city approve the sale with conditions?
- * Does the billboard get valued separately in the final deal?
- * How does this set precedent for other distressed sales with non-real-estate value?

We're watching for the city's formal response and any revised financing terms.

THE LESSON

In Distressed Real Estate, Look for the Asset Within the Asset

The best deals often hide in plain sight. Graffiti Towers reminds us that value isn't always in the concrete-it's in the air rights, the signage, the unseen cash flow. Light Tower Group helps capital partners see the full picture. Connect with Benjamin Rohr for capital strategy and placement.